

PART TWO · PICKING UP WHERE DANIELA ENDED

Distance can be priced. Can it be measured?

DANIELA JUST SAID

“Who owns and runs the firm changes how that same distance is perceived and acted on.”



SO MY QUESTION

When the field tried to measure any of this — did it measure what it thought it was measuring?

CONTRACTOR, KUNDU & HSU

2003

the shape of the relationship

MEZIAS

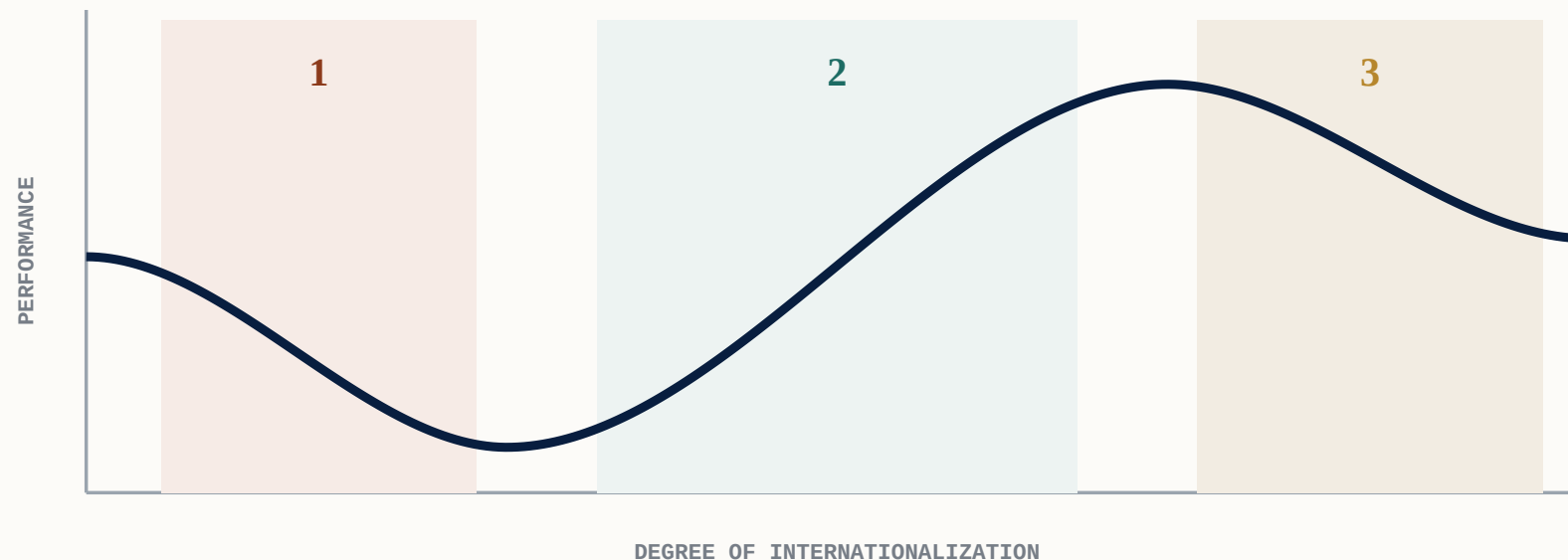
2002

the cost of being foreign

THEN THE CONCLUSION — ALL FOUR PAPERS, ONE DIAGNOSIS

CONTRACTOR, KUNDU & HSU (2003) · JIBS 34(1): 5-18 · AFTER FIGURE 1

Four findings. One curve.



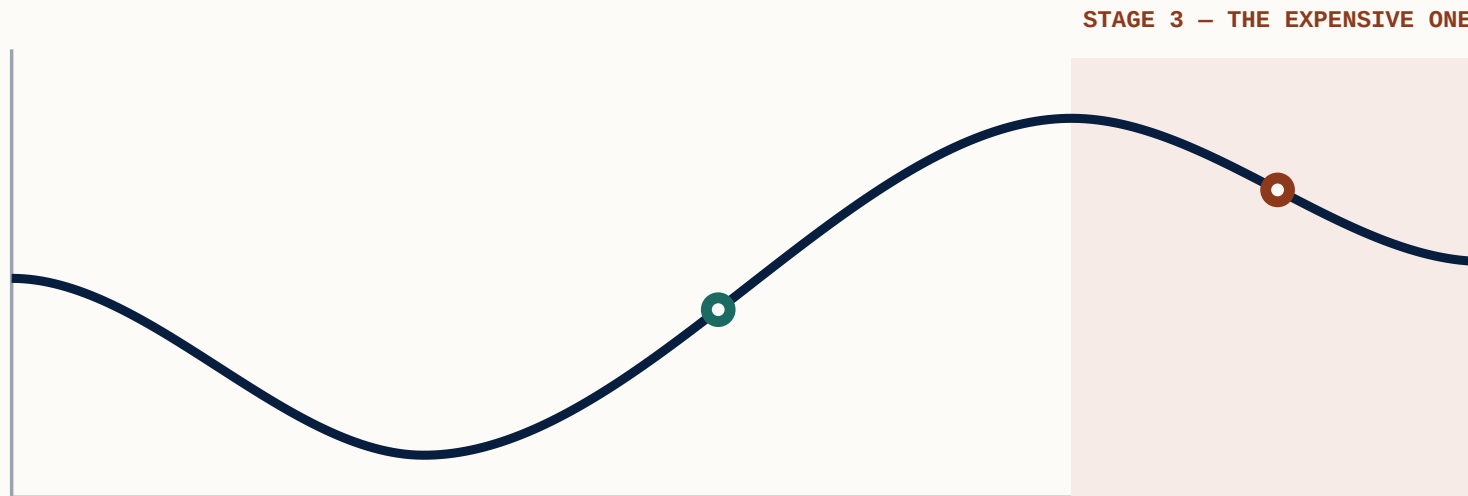
SAMPLE ONLY...

- **segment 1**
you publish a NEGATIVE linear result
- **segment 2**
you publish a POSITIVE linear result
- **segments 1+2**
you publish a U
- **segments 2+3**
you publish an INVERTED U

Thirty years of contradiction, and none of it was about firms. The literature was sampling different segments of one sigmoid and reporting each as a finding about the whole.

CONTRACTOR, KUNDU & HSU (2003) – THE FINDING THAT REACHES PRACTICE

Some firms walk into stage three more easily.



● KNOWLEDGE-BASED SERVICES

Advertising · market research · securities · publishing. “More driven by intangible assets” with “a much lower fixed capital cost burden” — so one more market is cheap to say yes to.

● CAPITAL-INTENSIVE

Airlines · hotels · construction · retail. Fixed assets make every additional market an expensive commitment, so they stop sooner.

“Few companies possess the managerial tools (such as regression plotting of firms in a sector) that would tell them when they have over-internationalized.”

→ “SHOULD WE INTERNATIONALISE?” IS THE WRONG QUESTION. “WHERE ARE WE ON THE CURVE?” IS THE RIGHT ONE.

MEZIAS (2002) · SMJ 23(3): 229-244 · THE CRAFT LESSON

He did not fix the measure. He replaced it.



“While most performance measures aggregate advantages and disadvantages, labor lawsuits only measure labor-related disadvantage.”

486

foreign subsidiaries

486

matched US firms

\$600k+

average jury award

MATCHED ON INDUSTRY AND CITY – SO THE ONLY REMAINING DIFFERENCE IS FOREIGNNESS

CONCLUSION — ALL FOUR

Daniela already named it. It is true of all four.

HER SLIDE 7

“Contradictions trace to unmeasured heterogeneity, not weak theory.”

	WHAT WAS MEASURED		BELIEVED TO BE
CONTRACTOR	segments of one curve	→	<i>the shape of the relationship</i>
MEZIAS	aggregate performance	→	<i>the cost of foreignness</i>
GHEMAWAT	market size	→	<i>opportunity</i>
ARREGLE	220 studies	→	<i>a settled question</i>

Not one of them was fixed by more data. Every one made progress by changing WHAT was measured — which is why this is a methods problem, not a theory problem.

ONE LAST THING

Eighteen years. Same question.

SUMIT K. KUNDU · FIU

2003

Contractor, Kundu & Hsu



JIBS 34(1)

2021

Arregle, ... Kundu, ...



JIBS 52

author on both

The same question about multinationality and performance, asked of a different population eighteen years later — and Daniela's numbers show it is still the theme the field has looked at least.

3 SEP ENTRY MODE

If stage one is negative, mode choice is a decision about how much of that cost to absorb at once.

24 SEP INSTITUTIONS

CAGE is a pre-Hofstede way of saying what that session says with formal distance measures.